

Global Semiconductor Capital Equipment

Global Semicap Tracker (Apr 26): Japan SPE +25% YoY



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This tracker analyzes the billings data released by SEAJ whose members are Japanese suppliers & represent ~25% of the global wafer fab equipment (WFE) market. SEAJ released April data on 2nd June (dataset can be downloaded at [SEAJ+SEMI Model](#)).

Japan SPE saw YoY growth in April with Japan SPE billing of +13% in USD (+25% in JPY). 3M average billing was relatively stable at +6% MoM / +11% YoY in USD (+6% MoM / +14% YoY in JPY). Sequentially, April single month data was -38% MoM in JPY due to high base.

By equipment type, Japan front end equipment revenue (relevant to TEL) was +12% YoY in April. Assembly equipment revenue (relevant to DISCO) was +73% YoY due to easy comp. Testing equipment (relevant to Advantest) showed growth of +26% YoY. On a sequential basis, testing equipment is -14% MoM and 3M average was -7%.

For TEL, SEAJ data suggests downside to FQ1. Our regression suggests TEL's FQ1 revenue could be -18% QoQ, below the consensus of +6% QoQ. Note that SEAJ data has good R^2 (0.83) even with 1 month of data. We expect TEL revenue to grow strongly in this year driven by strong DRAM and advanced logic capex. Also for this quarter, we expect the next two months to improve and see strong growth as the first month of each quarter is usually slower.

For Advantest, SEAJ data suggests upside to FQ1. Regression suggests Advantest's revenue could be +13% QoQ, above the consensus of +3% QoQ. Note that SEAJ data has very high R^2 (0.95) even with 1 month of data. Although April single-month was negative MoM, this was from a very strong March and still was the 2nd highest single-month billings.

We forecast global WFE to be +21.4% YoY in CY2026, and +18.2% in CY2027 ([WFE Model, Report Link](#)). We expect CY2026 will see strong growth from DRAM and NAND spending. We believe the Japanese equipment companies will benefit from the rise of memory capex, and there should be more upside.

We maintain our Outperform on Disco, Advantest, Tokyo Electron, Kokusai and Lasertec within Japan semi. Within our US coverage we **maintain our Outperform on LRCX, AMAT and KLAC**. For Chinese semicap, we **maintain our Outperform on NAURA, AMEC, and Piotech**.

BERNSTEIN TICKER TABLE

Ticker	Rating	2 Jun 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
8035.JP (Tokyo Electron)	O	JPY	53,710	59,200	93.5%	JPY	1,250.88	1,504.14	1,848.77	42.9	35.7	29.1
6146.JP (DISCO)	O	JPY	64,200	85,000	57.0%	JPY	1,246.28	1,733.62	2,127.33	51.5	37.0	30.2
6525.JP (Kokusai)	O	JPY	7,449.00	8,240.00	112.1%	JPY	128.63	200.23	274.61	57.9	37.2	27.1
6857.JP (Advantest)	O	JPY	26,320	39,200	227.1%	JPY	534.21	735.65	870.09	49.3	35.8	30.2
7735.JP (Screen)	M	JPY	11,315	12,600	83.9%	JPY	486.61	572.60	662.24	23.3	19.8	17.1
6920.JP (Lasertec)	O	JPY	39,250	50,000	133.7%	JPY	937.82	893.18	976.61	41.9	43.9	40.2
AMAT (Applied Materials)	O	USD	458.17	525.00	162.8%	USD	9.42	12.17	15.56	48.7	37.7	29.5
LRCX (Lam Research)	O	USD	317.12	340.00	255.9%	USD	4.14	5.68	7.98	76.7	55.9	39.8
KLAC	O	USD	1,940.04	1,975.00	125.9%	USD	33.28	36.93	51.22	58.3	52.5	37.9
688012.CH (AMEC)	O	CNY	282.80	500.00	91.1%	CNY	3.40	4.95	7.18	83.2	57.2	39.4
002371.CH (NAURA)	O	CNY	602.80	680.00	44.8%	CNY	5.66	10.22	16.41	106.5	59.0	36.7
688072.CH (Piotech)	O	CNY	596.00	580.00	254.6%	CNY	3.32	8.12	12.40	179.5	73.4	48.1
JPL			2,578.80									
SPX			7,599.96									
ASIA			2,032.77									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AMAT, LRCX, KLAC estimate is Adjusted EPS; AMAT, LRCX, KLAC valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Tokyo Electron: Outperform, PT=¥59,200. TEL is the #4 SPE supplier globally and the biggest Japanese SPE supplier with major presence in 6 product segments. It is expected to gain share and expand margins with competitive pricing after yen depreciation.

DISCO: Outperform, PT=¥85,000. DISCO is the dominant supplier of grinders and dicers with ~85% market share. The growing usage of dicers/grinders driven by advanced packaging is sustainable, especially for HBM and CoWoS in the near term, and hybrid bonding for HBM/3D stacking NAND/backside power delivery network in the midterm.

Kokusai: Outperform, PT=¥8,240.00. Batch ALD should see more adoption in advanced nodes especially GAA (gate-all-around). The biggest use of batch ALD is in NAND, and NAND capex recovery is accelerating.

Lasertec: Outperform, PT=¥50,000. As major supplier for mask inspection (~50% share) and sole supplier for actinic inspection, Lasertec delivered phenomenal growth in the past, but saw deceleration in recent years. We expect reacceleration from TAM expansion driven by the new A200HiT tool penetrating more actinic inspection at wafer fabs.

Advantest: Outperform, PT=¥39,200. Benefits from rising testing intensity for HBM and Blackwell. As the dominant supplier for HBM tester (~65%) and Nvidia AI GPU (100% share), Advantest is able to lift the ASP and margin with product migration, especially with HBM4 in 2025.

Screen: Market-Perform, PT=¥12,600. Leading supplier in cleaning equipment with the lowest valuation in our coverage, but also the one with the least specific growth drivers. Cleaning intensity is not increasing, and the market is competitive with both global rivals (TEL, Lam) and Chinese (ACMR, Naura). Declining China revenue contribution presents margin downside risk.

AMAT (Outperform, \$525.00): We maintain a positive view on secular WFE growth and see a number of drivers for AMAT including SAM growth, an increasing services narrative, and capital return.

LRCX (Outperform, \$340.00): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26 commentary seems supportive.

KLAC (Outperform, \$1,975.00): Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation.

NAURA (Outperform, CNY 680.00): As the domestic WFE leader, NAURA has the broadest product portfolio covering Deposition (PVD, CVD), Dry Etch (ICP), Thermo Processes, and Cleaning, as well as a more diverse client base covering leading logic, DRAM, NAND players, benefiting from the WFE domestic substitution in China with acceleration share gain.

AMEC (Outperform, CNY 500.00): Primarily focus on Dry Etch (CCP, ICP) with rapid expansion in Deposition (ALD, LPCVD, EPI), commonly perceived as the domestic WFE company with the best technology and widest global recognition, continue to benefit from the WFE domestic substitution in China with acceleration share gain.

Piotech (Outperform, CNY 580.00): Rising domestic WFE vendor primarily focus on Deposition (PECVD, HDPCVD, SACVD, ALD) with expansion in W2W and C2W hybrid bonding equipment for advanced packaging. Piotech has a strong track record of product innovation, which will allow it to benefit from the WFE domestic substitution in China with acceleration share gain.

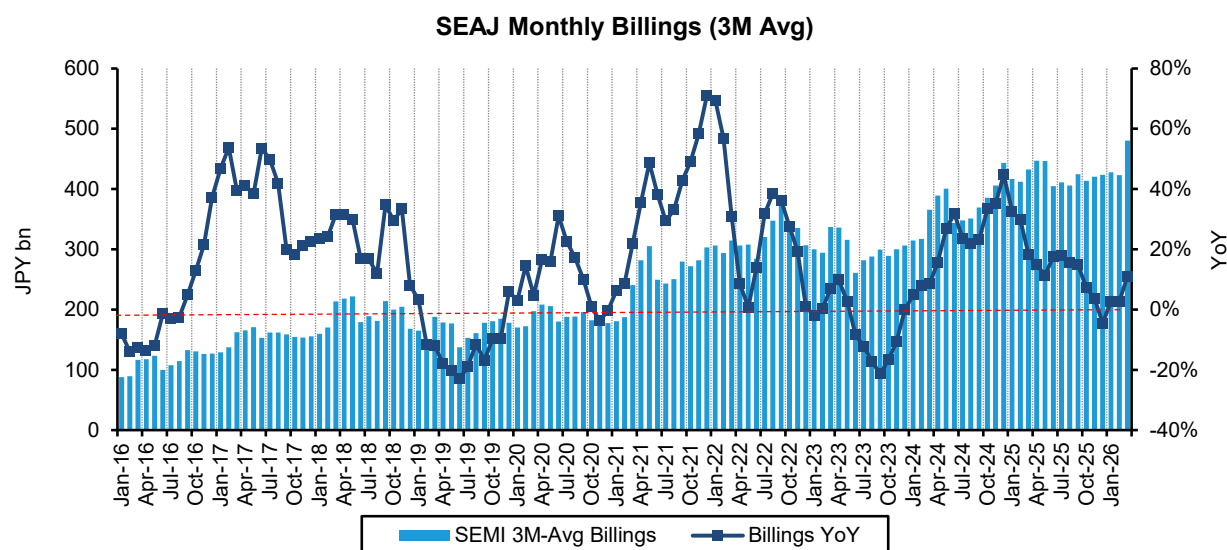
DETAILS

This tracker analyzes the billings data released by SEAJ whose members are Japanese suppliers & represent ~25% of the global wafer fab equipment (WFE) market. SEAJ released April data on 2nd June (dataset can be downloaded at [SEAJ+SEMI Model](#)). As usual, we examine the data on both a single-month and 3-month-average basis as the single-month data reflects near-term inflection on a more timely basis and the 3-month moving average reduces the influence of seasonality and reveals the underlying trend better. We also provide the read-across for Tokyo Electron (TEL) and Advantest based on a regression analysis.

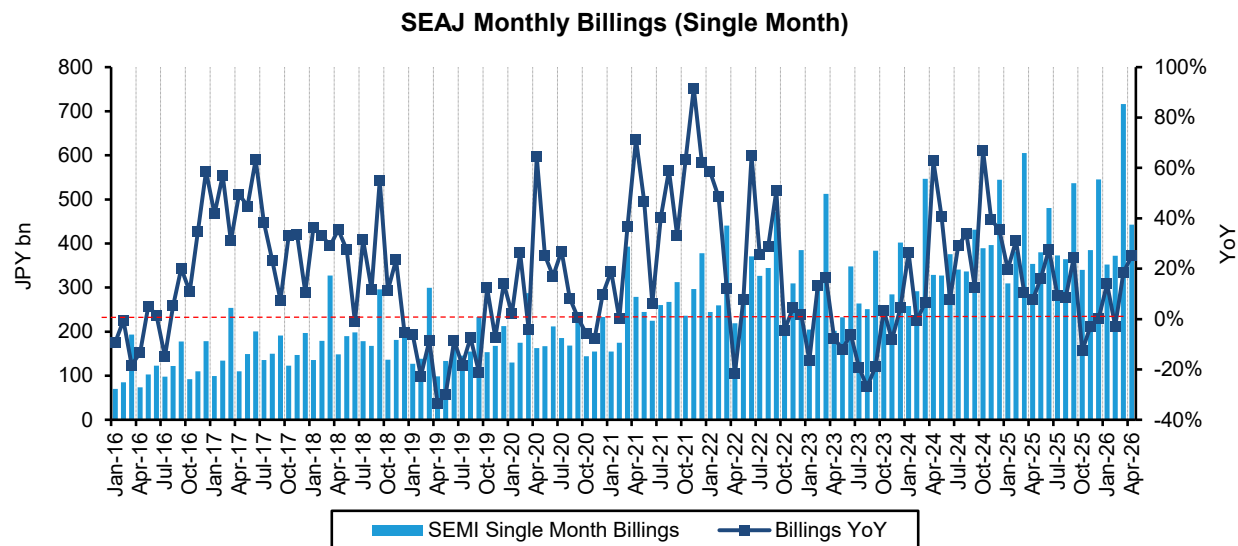
April SPE billings were +13% YoY in USD (+25% in JPY). 3M average SPE billings were +11% in USD (+14% YoY in JPY). We forecast the WFE market to be up +21.4% YoY in CY2026 & +18.2% in CY2027.

- On 3-month basis, April billings of Japanese equipment suppliers continued the cyclical upward swing that began in mid-CY2023 (**Exhibit 1**). Sequentially 3M average was +6%.
- On single month basis, April billings of Japanese suppliers was at ¥442 bn (-38% MoM / +25% YoY in JPY) (**Exhibit 2**).
- By equipment type, Japan front end equipment revenue (relevant to TEL) was +12% YoY in April. Assembly equipment revenue (relevant to DISCO) was +73% YoY due to easy comp. Testing equipment (relevant to Advantest) grew +26% YoY. (**Exhibit 3-Exhibit 6**).
- We forecast global WFE to be +21.4% YoY in CY2026, and +18.2% in CY2027 ([WFE Model](#), [Report Link](#)). We expect CY2026 will see strong growth from DRAM and NAND spending.

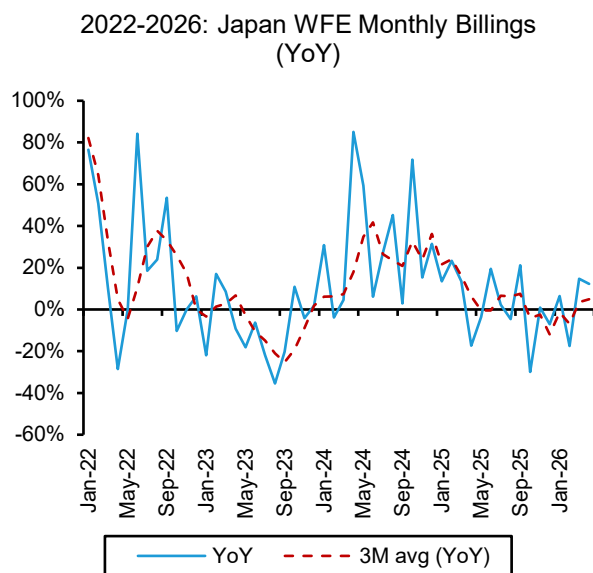
EXHIBIT 1: On three-month moving average basis, April SEAJ billings was +14% YoY in JPY.



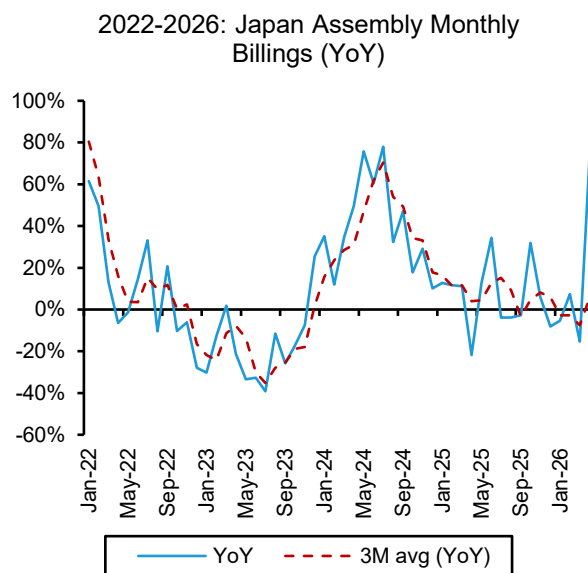
Source: SEAJ and Bernstein analysis.

EXHIBIT 2: April single-month billings data was -38% MoM and +25% YoY in JPY.

Source: SEAJ and Bernstein analysis.

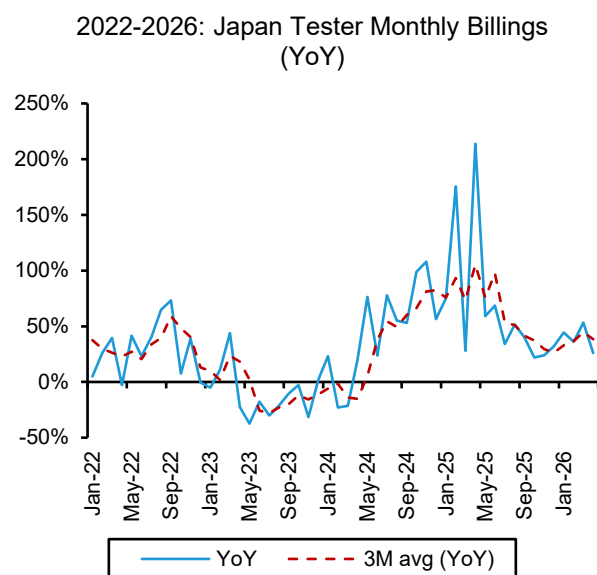
EXHIBIT 3: Monthly billings for Japanese WFE was +12% YoY / -50% MoM.

Source: SEAJ, Bernstein analysis.

EXHIBIT 4: Monthly billings for Japanese assembly SPE was +73% YoY / -39% MoM.

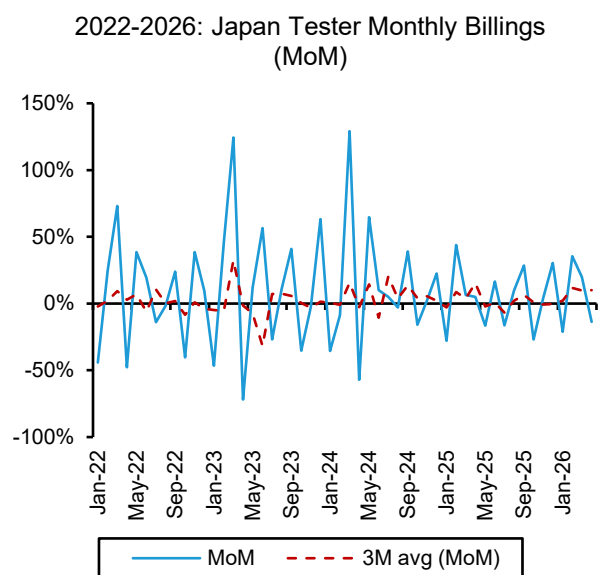
Source: SEAJ, Bernstein analysis.

EXHIBIT 5: Monthly billings for Japanese testers was +26% YoY.



Source: SEAJ, Bernstein analysis.

EXHIBIT 6: Monthly billings for Japanese testers was -14% MoM.

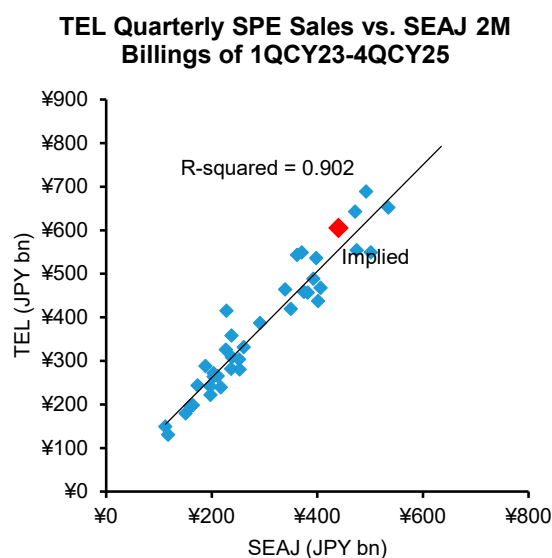


Source: SEAJ, Bernstein analysis.

April data suggests a downside for TEL / upside for Advantest in the June Quarter.

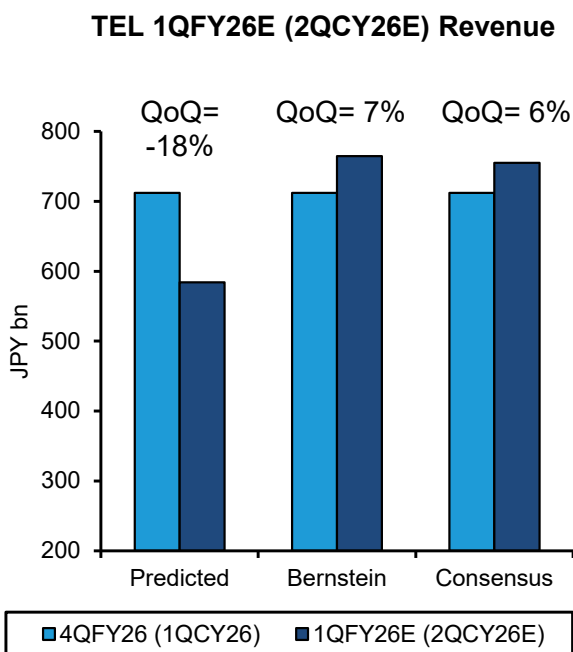
- As detailed in our previous trackers, SEAJ billings data (single month basis) can be used to estimate TEL quarterly SPE (semiconductor production equipment) revenue & hence the corporate revenue in the same quarter. The regression output is shown in **Exhibit 7**. Our regression suggests **-18% QoQ for TEL's SPE revenue** in the June quarter (equivalent to -18% total sales). This is below consensus of +6% QoQ (**Exhibit 8**, Exhibit 9).
- Likewise, SEAJ billings data for testers can be used to estimate Advantest quarterly SPE revenue in the same quarter. The regression output is shown in **Exhibit 10**. We find the regression suggests **+13% QoQ** in Advantest's June quarter tester revenue. This is above consensus of +3% QoQ (**Exhibit 11**, **Exhibit 12**).

EXHIBIT 7: Our regression yields a decent correlation and should have good prediction power.



Source: SEAJ, company disclosures, Bernstein estimates and analysis.

EXHIBIT 9: Regression suggests TEL JunQ revenue of -18% QoQ, below consensus.



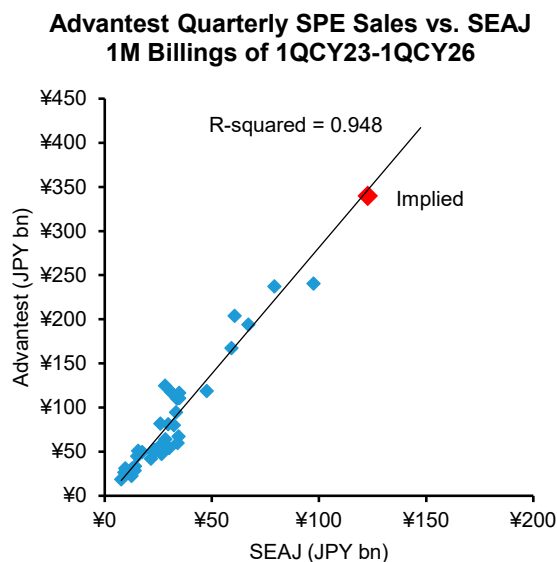
Source: SEAJ, Bloomberg, company disclosures, Bernstein estimates and analysis.

EXHIBIT 8: Our regression suggests TEL JunQ revenue could miss consensus.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY26E (2QCY26E)	
SPE	703	575	-18%
Non-SPE	9	9	
Total	712		
Predicted by Regression		584	-18%
Bernstein		765	7%
Consensus		755	6%

Source: SEAJ, Bloomberg, company disclosures, Bernstein estimates and analysis.

EXHIBIT 10: Our regression yields a decent correlation and should have good prediction power.



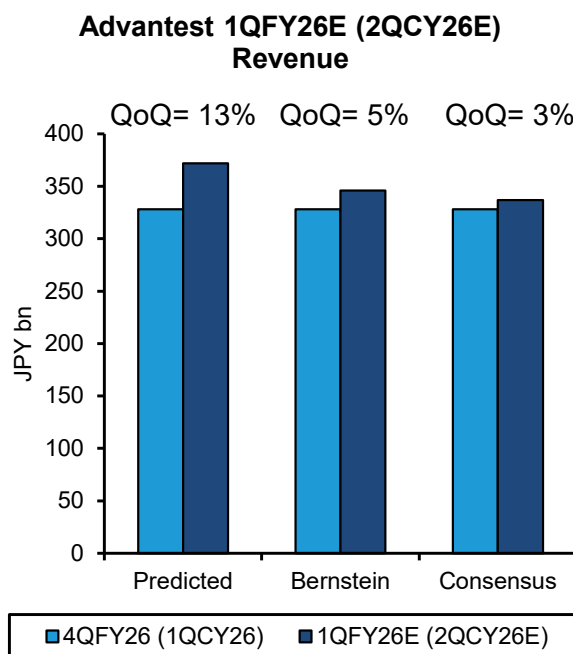
Source: SEAJ, company disclosures, Bernstein estimates and analysis.

EXHIBIT 11: Our regression predicts Advantest JunQ revenue could beat consensus.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY26E (2QCY26E)	
ATE	296	340	15%
Other	32	32	
Total	328	372	13%
Bernstein		346	5%
Consensus		337	3%

Source: SEAJ, Bloomberg, company disclosures, Bernstein estimates and analysis.

EXHIBIT 12: Regression suggests Advantest JunQ revenue at +13% QoQ, above consensus.



Source: SEAJ, Bloomberg, company disclosures, Bernstein estimates and analysis.

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